

THE CENTRAL QUESTION

Does ~135x sales (~\$81B on \$602M FY25 revenue) price a realistic path to a space prime — or a SpaceX-scale outcome a decade of fundamentals can't reach?

Rocket Lab trades at ~\$81B against \$602M FY25 revenue (+38%) and a \$1.85B backlog (+73%) — ~135x sales. Two engines: Electron (the established #2 small-lift launcher) plus Neutron (a reusable medium-lift vehicle targeting a Q4 2026 first launch after a stage-1 tank-test failure), and a larger vertically-integrated Space Systems segment with a path to owned constellations. The young-company DCF asks what mature scale, prime-style margins, and Neutron-stumble probability are plausible over ten years. Five scenarios, weighted — and the finding is stark: even an aggressive ultra-bull (a ~\$20B-revenue space prime by 2035) lands below spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$21.64 expected fair value today
-84.8% vs spot \$142.00

FORWARD COMPOUNDED VALUE

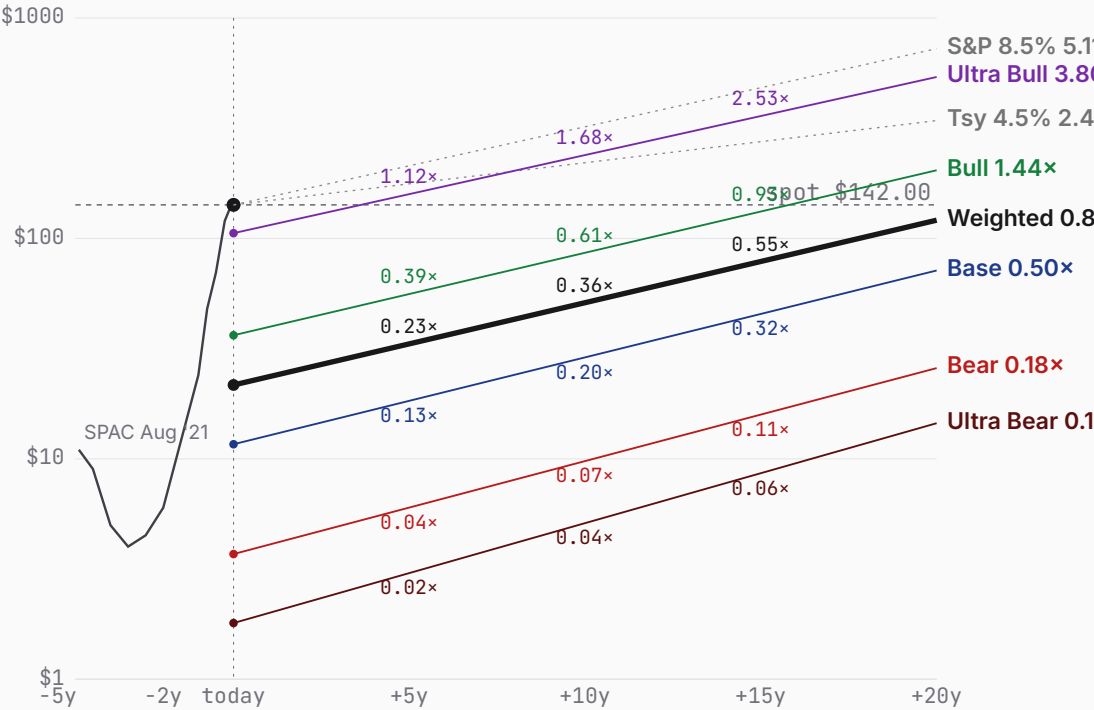
+5y	+10y	+15y	+20y
\$33.25	\$51.11	\$78.62	\$121.00
0.23x spot	0.36x spot	0.55x spot	0.85x spot

WEIGHTING RATIONALE

- Ultra Bear 10%** Neutron fails; dilution; SpaceX runs away.
- Bear 25%** Neutron slips; credible #2 but capped.
- Base 35%** Neutron works; #2 + Space Systems prime ~18%.
- Bull 22%** Reusable Neutron scales; top-3 + constellations.
- Ultra Bull 8%** SpaceX-scale prime by 2035 — still below spot.

Bull (22%) + Ultra Bull (8%) together contribute \$16.45 — 76% of the \$21.64 expected value despite 30% combined probability. Today's spot (\$142.00) sits 556% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



ULTRA BEAR	\$1.80	BEAR	\$3.70	BASE	\$11.65	BULL	\$36.37	ULTRA BULL	\$105.65
	-98.7% vs spot		-97.4% vs spot		-91.8% vs spot		-74.4% vs spot		-25.6% vs spot
TAM 1.1% P(fail) 25% S2C 1.7 Prob 10%		TAM 2.4% P(fail) 12% S2C 1.9 Prob 25%		TAM 4.9% P(fail) 5% S2C 2.1 Prob 35%		TAM 8.8% P(fail) 3% S2C 2.3 Prob 22%		TAM 17.1% P(fail) 2% S2C 2.5 Prob 8%	
Neutron fails; dilution; SpaceX runs away.		Neutron slips; #2 but sub-scale.		Neutron works; #2 prime; 18% margin.		Neutron scales; top-3 + constellations.		The space prime; SpaceX-scale by 2035.	



ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Rocket Lab scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 25% Base 35% Bull 22% Ultra Bull 8% · Weighted expected \$21.64 (-84.8% vs spot)

ULTRA BEAR	\$1.80	BEAR	\$3.70	BASE	\$11.65	BULL	\$36.37	ULTRA BULL	\$105.65
	-98.7% vs spot		-97.4% vs spot		-91.8% vs spot		-74.4% vs spot		-25.6% vs spot

Probability 10%

Neutron fails; dilution; SpaceX runs away.

WHY 10%

The compound bear: a Neutron failure (the FY26 tank-test failure is a real datapoint) plus Space Systems deceleration plus persistent thin margins. Aerospace hardware is unforgiving and SpaceX's cost curve is brutal. 25% within-scenario failure probability reflects that RKLБ, while revenue-generating with \$1.85B backlog, is still capital-hungry and Neutron-dependent for the bull thesis.

WHAT HAPPENS

Neutron's tank-test troubles compound into a failed or indefinitely delayed program; RKLБ stays a sub-scale small-lift + components shop. Launch cadence stalls, Space Systems growth decelerates as satellite primes in-source, and gross margins stay structurally thin against a fixed-cost manufacturing base.

Repeated dilutive ATM raises fund the burn (start cash \$0.83B), share count creeps toward 590M, and by FY35 revenue is ~\$1.4B at ~7-8% operating margin. With a 25% probability of an outright restructuring/recap, the expected per-share collapses toward the distress floor — orders of magnitude below today's price.

Probability 25%

Neutron slips; #2 but sub-scale.

WHY 25%

Neutron works but underwhelms on cadence/cost; Space Systems grows steadily without becoming a prime. 12% failure probability — lower than a pre-revenue name given backlog and balance sheet, but Neutron execution risk is real. The 25% weight reflects this as a very plausible 'competent but capped' outcome.

WHAT HAPPENS

Neutron eventually flies but late and at low cadence; RKLБ remains a credible #2 launch name and a solid Space Systems supplier, but never escapes SpaceX's shadow on cost or volume. Revenue compounds to ~\$2.85B by FY35 at ~12% operating margin — real, but a fraction of the bull trajectory.

Modest dilution funds the Neutron ramp. The DCF lands in the low-single-digit dollars per share — the market is pricing a far larger outcome. This is the 'good company, wrong price' world.

Probability 35%

Neutron works; #2 prime; 18% margin.

WHY 35%

Requires the least faith: Neutron works (not dominates), Space Systems keeps compounding, margins reach an aerospace-prime ~18%. No SpaceX-toppling assumption. 5% failure probability given backlog, cash, and revenue diversification. 35% weight as the central outcome.

WHAT HAPPENS

The modal path: Neutron certifies and reaches meaningful cadence, RKLБ consolidates the clear #2 launch position, and the vertically-integrated Space Systems business scales into a genuine space prime. Revenue compounds ~25% to ~\$5.9B by FY35 at an ~18% mature operating margin — aerospace-prime economics, not software.

Light early dilution; the business self-funds by the late 2020s. DCF ~\$12/share. Even this constructive base case sits ~92% below today's \$142 — a measure of how much the market is paying for a larger, faster outcome than a successful-but-rational base implies.

Probability 22%

Neutron scales; top-3 + constellations.

WHY 22%

A chain: Neutron reusability works AND captures share AND Space Systems scales AND constellation economics materialize. Each plausible at 50-70%; jointly ~22%. This is a real, fundable trajectory — RKLБ has the balance sheet and backlog — but it's conjunctive.

WHAT HAPPENS

The bull: Neutron's reusability lands RKLБ a real share of medium-lift, Space Systems becomes a top-tier prime, and RKLБ begins owning/operating constellations (recurring, higher-margin revenue). Revenue compounds toward ~\$10.5B by FY35 at a ~23% operating margin.

Minimal dilution; strong self-funding. DCF ~\$37/share — and still ~74% below spot. The bull case is genuinely good and still doesn't reach today's price on a 10-year fundamental basis; you have to extend the horizon or believe in multiple expansion.

Probability 8%

The space prime; SpaceX-scale by 2035.

WHY 8%

Tail of tails: every bull condition hits AND RKLБ reaches SpaceX-scale AND earns a premium platform multiple. Individually 50-65%; jointly ~8%. The genuine asymmetric upside — and notably it still falls short of spot, which is the memo's central finding.

WHAT HAPPENS

The tail: RKLБ becomes a vertically-integrated space prime at SpaceX-ish scale — Neutron a workhorse, Space Systems dominant, owned constellations throwing off recurring revenue. Revenue reaches ~\$20.5B by FY35 at a ~27% operating margin, with a premium terminal multiple for a dominant platform.

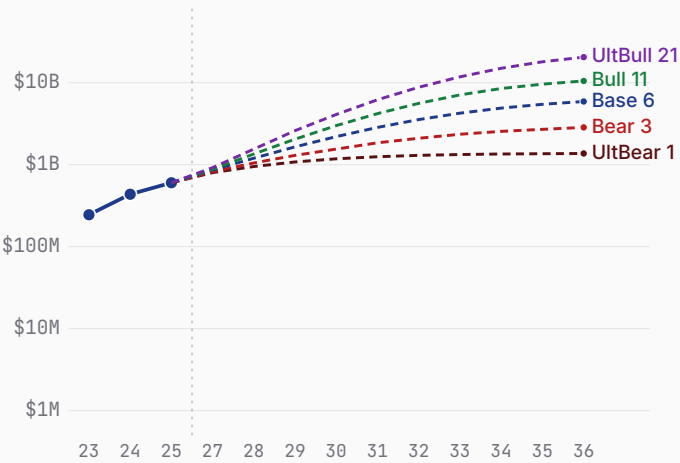
Even this — a genuine 'next-prime' outcome — produces a DCF of ~\$108/share, still ~26% below today's \$142. To justify spot you must believe in something richer than a \$20B-revenue space prime by 2035, or value beyond the 10-year window. That is the honest framing of what the market is paying for.

Rocket Lab business snapshot

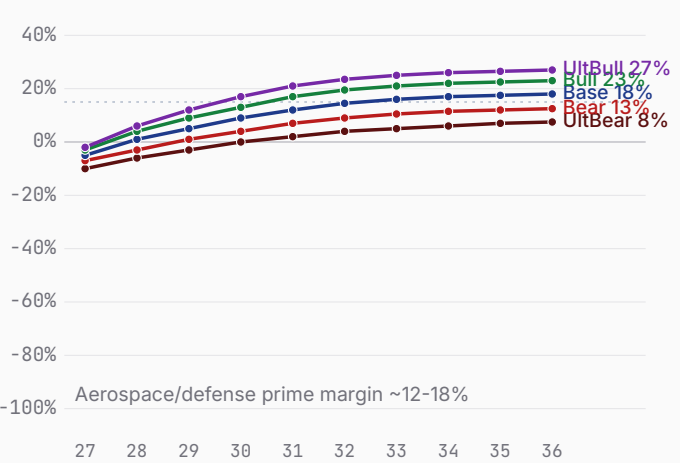
Bear \$3.70 Base \$11.65 Bull \$36.37

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q4'25 release

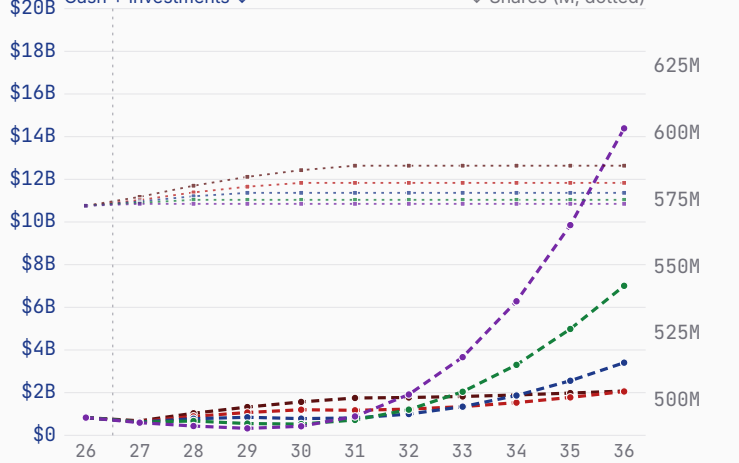
Revenue — history + scenarios to FY36 (log)



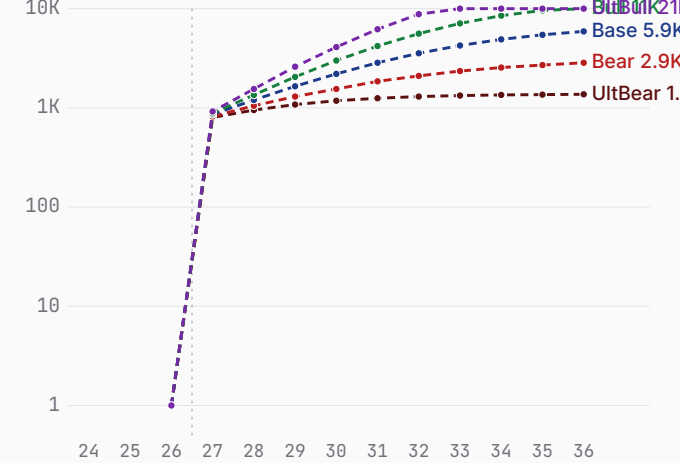
Path to profitability — op margin (FY27→FY36)



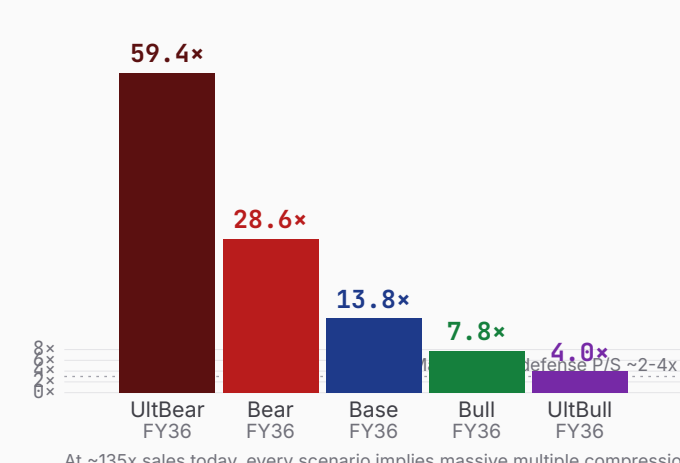
Cash + dilution (FY26 → FY36)



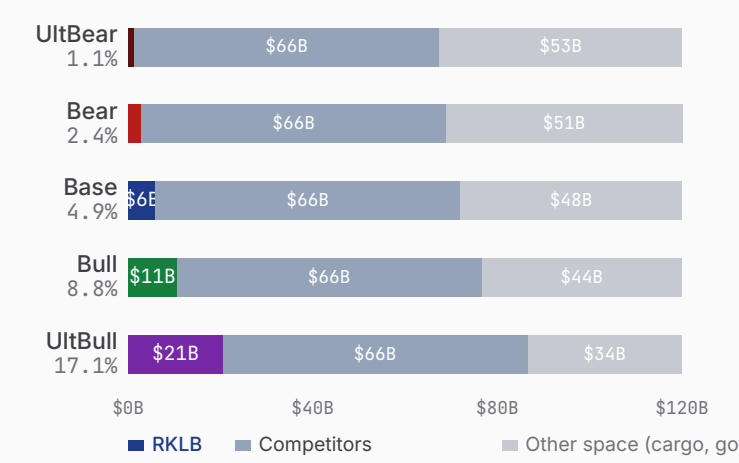
Revenue ramp (log)



\$81.40B mkt cap as P/S on FY36 rev



\$120B FY35 launch + space-systems TAM — RKLB share



Sources: RKLB FY2025 results (Feb 2026), Q4'25 8-K, company guidance. FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: launch + space-systems serviceable slice, ~\$120B by FY35.

Rocket Lab 7 Powers · the moat, scored

Bear \$3.70 Base \$11.65 Bull \$36.37

Arena. Space launch + space systems — Rocket Lab (Electron small-lift, Neutron medium-lift reusable coming, vertically-integrated Space Systems) vs SpaceX (dominant), Firefly, Stoke Space, ULA/Blue Origin; the race to become a vertically-integrated space prime.

POWER ORIENTATION
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies	Electron cadence builds a learning curve; Neutron reusability could reset cost, but it is pre-launch.
Network Economies	Owned-constellation/data flywheel is a future moat, not yet originated.
Counter-Positioning	Vertically integrated launch + components + future constellation — few new-space peers can replicate the full stack.
Switching Costs	Space Systems components get designed-in (some lock-in); launch is largely contestable.
Branding	The credible #2 launch brand after SpaceX; strong gov/defense trust.
Cornered Resource · thesis leans here	Launch sites/licenses, an acquired vertically-integrated component portfolio, Beck-led engineering talent, Neutron IP.
Process Power	Electron reliability + manufacturing learning curve; a genuine, if narrow, process edge.

COMPETITIVE READ

Rocket Lab is originating a genuine vertically-integrated space-prime position — the credible #2 to SpaceX — with real Space Systems scale, a \$1.85B backlog, and Neutron optionality. But it lags SpaceX by an order of magnitude on launch cadence/reusability, and Neutron is unproven; the window is open as the #2, but SpaceX's cost-and-scale gravity well is the falsifier the whole bull case must clear.

THE RACE · NAMED RIVALS

SpaceX	\$ tens of B; Starlink cash flow
~45% terminal share · Falcon 9 cadence + Starship + Starlink — the gravity well of the industry.	
ULA / Blue Origin	Boeing/LM + Bezos
~12% terminal share · Vulcan / New Glenn; legacy contracts + Bezos capital.	
Firefly Aerospace	public; funded
~8% terminal share · Alpha + Elytra + MLV; lunar lander; recently public.	
Stoke Space	~\$ hundreds M
~5% terminal share · Fully reusable from day one; early but ambitious.	

LEAD / LAG · FALSIFIERS

Medium-lift reusable launch	Neutron pre-launch vs Falcon 9 + Starship	LAGGING
Launch cadence (per yr)	~15-20 (Electron) vs >100 (SpaceX)	LAGGING
Space Systems revenue scale	leading new-space vs fragmented	LEADING

Rocket Lab show your work

Bear \$3.70 Base \$11.65 Bull \$36.37 · Weighted \$21.64 (-84.8%)

ULTRA BEAR

\$1.80

BEAR

\$3.70

BASE

\$11.65

BULL

\$36.37

ULTRA BULL

\$105.65

ASSUMPTIONS

TAM Year-10 (\$B)	120
Mature share (%)	1.1
Mature op margin (%)	8
Sales-to-capital	1.7
Terminal WACC (%)	11.0
Terminal growth (%)	2.5
P(failure) (%)	25
Scenario probability (%)	10

10-YEAR DCF · \$B

FY	Rev	Margin	FCF	PV FCF
FY27	0.80	-10%	-0.20	-0.17
FY28	0.95	-6%	-0.14	-0.11
FY29	1.08	-3%	-0.11	-0.07
FY30	1.18	+0%	-0.06	-0.04
FY31	1.25	+2%	-0.02	-0.01
FY32	1.30	+4%	+0.02	+0.01
FY33	1.33	+5%	+0.05	+0.02
FY34	1.35	+6%	+0.07	+0.03
FY35	1.36	+7%	+0.09	+0.03
FY36	1.37	+8%	+0.10	+0.03

Σ PV explicit FCF -0.28

+ PV terminal (g 2.5%) 0.38

EQUITY BUILD · \$B & PER SHARE

Operating EV	\$0.10B
+ Cash & investments	\$0.83B
= Equity value	\$0.93B
Raised over period	\$1.80B
Dilution by FY36	+3%
FY36 shares (M)	588

DCF per share	\$1.58
× (1-P_fail) [75%]	\$1.19
+ P_fail × distress [25% × \$2.50]	\$0.63

= Expected per share \$1.80

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
\$3.03	\$5.11	\$8.61	\$14.51
0.02×	0.04×	0.06×	0.10×

ASSUMPTIONS

TAM Year-10 (\$B)	120
Mature share (%)	2.4
Mature op margin (%)	13
Sales-to-capital	1.9
Terminal WACC (%)	10.2
Terminal growth (%)	3.0
P(failure) (%)	12
Scenario probability (%)	25

10-YEAR DCF · \$B

FY	Rev	Margin	FCF	PV FCF
FY27	0.82	-7%	-0.17	-0.15
FY28	1.05	-3%	-0.15	-0.12
FY29	1.30	+1%	-0.12	-0.09
FY30	1.55	+4%	-0.07	-0.04
FY31	1.85	+7%	-0.03	-0.02
FY32	2.10	+9%	+0.06	+0.03
FY33	2.35	+11%	+0.12	+0.05
FY34	2.55	+12%	+0.19	+0.08
FY35	2.70	+12%	+0.24	+0.09
FY36	2.85	+13%	+0.28	+0.10

Σ PV explicit FCF -0.07

+ PV terminal (g 3.0%) 1.37

EQUITY BUILD · \$B & PER SHARE

Operating EV	\$1.30B
+ Cash & investments	\$0.83B
= Equity value	\$2.13B
Raised over period	\$1.20B
Dilution by FY36	+2%
FY36 shares (M)	582

DCF per share	\$3.66
× (1-P_fail) [88%]	\$3.22
+ P_fail × distress [12% × \$4.00]	\$0.48

= Expected per share \$3.70

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
\$6.01	\$9.77	\$15.88	\$25.81
0.04×	0.07×	0.11×	0.18×

ASSUMPTIONS

TAM Year-10 (\$B)	120
Mature share (%)	4.9
Mature op margin (%)	18
Sales-to-capital	2.1
Terminal WACC (%)	9.5
Terminal growth (%)	3.5
P(failure) (%)	5
Scenario probability (%)	35

10-YEAR DCF · \$B

FY	Rev	Margin	FCF	PV FCF
FY27	0.86	-5%	-0.17	-0.15
FY28	1.20	+1%	-0.15	-0.12
FY29	1.65	+5%	-0.13	-0.10
FY30	2.20	+9%	-0.06	-0.04
FY31	2.85	+12%	+0.03	+0.02
FY32	3.55	+14%	+0.18	+0.10
FY33	4.25	+16%	+0.35	+0.17
FY34	4.90	+17%	+0.52	+0.23
FY35	5.45	+18%	+0.69	+0.28
FY36	5.90	+18%	+0.85	+0.31

Σ PV explicit FCF +0.70

+ PV terminal (g 3.5%) 5.38

EQUITY BUILD · \$B & PER SHARE

Operating EV	\$6.08B
+ Cash & investments	\$0.83B
= Equity value	\$6.91B
Raised over period	\$0.75B
Dilution by FY36	+1%
FY36 shares (M)	578

DCF per share	\$11.96
× (1-P_fail) [95%]	\$11.36
+ P_fail × distress [5% × \$6.00]	\$0.30

= Expected per share \$11.65

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
\$18.34	\$28.87	\$45.45	\$71.55
0.13×	0.20×	0.32×	0.50×

ASSUMPTIONS

TAM Year-10 (\$B)	120
Mature share (%)	8.8
Mature op margin (%)	23
Sales-to-capital	2.3
Terminal WACC (%)	9.0
Terminal growth (%)	4.5
P(failure) (%)	3
Scenario probability (%)	22

10-YEAR DCF · \$B

FY	Rev	Margin	FCF	PV FCF
FY27	0.88	-3%	-0.15	-0.13
FY28	1.35	+4%	-0.15	-0.12
FY29	2.05	+9%	-0.12	-0.09
FY30	3.00	+13%	-0.02	-0.01
FY31	4.20	+17%	+0.19	+0.12
FY32	5.60	+20%	+0.48	+0.27
FY33	7.10	+21%	+0.84	+0.42
FY34	8.50	+22%	+1.26	+0.58
FY35	9.60	+23%	+1.68	+0.70
FY36	10.50	+23%	+2.02	+0.78

Σ PV explicit FCF +2.50

+ PV terminal (g 4.5%) 18.08

EQUITY BUILD · \$B & PER SHARE

Operating EV	\$20.58B
+ Cash & investments	\$0.83B
= Equity value	\$21.41B
Raised over period	\$0.40B
Dilution by FY36	+0%
FY36 shares (M)	575

DCF per share	\$37.23
× (1-P_fail) [97%]	\$36.11
+ P_fail × distress [3% × \$9.00]	\$0.27

= Expected per share \$36.37

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
\$55.96	\$86.10	\$132.48	\$203.83
0.39×	0.61×	0.93×	1.44×

ASSUMPTIONS

TAM Year-10 (\$B)	120
Mature share (%)	17.1
Mature op margin (%)	27
Sales-to-capital	2.5
Terminal WACC (%)	8.5
Terminal growth (%)	5.0
P(failure) (%)	2
Scenario probability (%)	8

10-YEAR DCF · \$B

FY	Rev	Margin	FCF	PV FCF
FY27	0.92	-2%	-0.14	-0.13
FY28	1.55	+6%	-0.16	-0.13
FY29	2.60	+12%	-0.11	-0.08
FY30	4.10	+17%	+0.10	+0.07
FY31	6.20	+21%	+0.46	+0.29
FY32	8.80	+24%	+1.03	+0.58
FY33	11.80	+25%	+1.75	+0.91
FY34	15.00	+26%	+2.62	+1.24
FY35	18.00	+27%	+3.57	+1.56
FY36	20.50	+27%	+4.54	+1.82

Σ PV explicit FCF +6.12

+ PV terminal (g 5.0%) 54.76

EQUITY BUILD · \$B & PER SHARE

Operating EV	\$60.88B
+ Cash & investments	\$0.83B
= Equity value	\$61.71B
Raised over period	\$0.15B
Dilution by FY36	+0%
FY36 shares (M)	574

DCF per share	\$107.51
× (1-P_fail) [98%]	\$105.36
+ P_fail × distress [2% × \$12.00]	\$0.24

= Expected per share \$105.65

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
\$158.86	\$238.87	\$359.18	\$540.09
1.12×	1.68×	2.53×	3.80×



Rocket Lab supporting analysis · disclaimers · glossary

Bear \$3.70 Base \$11.65 Bull \$36.37

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Best-capitalized new-space name.**
\$0.83B cash + \$1.85B backlog + ATM access; far more de-risked than pre-revenue peers.

4 **Reusability could reset the cost curve.**
If Neutron lands reuse economics, the bull launch-share path opens — the single biggest swing factor.
- 2 **Space Systems is the hidden engine.**
The majority of revenue is components/satellites, not launch — diversified, growing, and sticky (designed-in).

5 **Backlog visibility.**
\$1.85B backlog (+73% YoY) gives unusual revenue visibility for a 'young' name.
- 3 **Neutron is optionality, not the whole thesis.**
Even modeling Neutron conservatively, Space Systems alone compounds to a real business.

FALSIFICATION TRIGGERS

Bull validation Neutron reaches orbit on schedule (Q4'26) · reuse demonstrated by FY27 · Space Systems > \$1B annual run-rate	Bear validation Neutron slips beyond FY27 · gross margin stalls < 35% · Space Systems growth decelerates < 20%	Reframe needed If reusable medium-lift cadence approaches Falcon 9 economics, the launch-share ceiling lifts materially — revisit the bull tam_share
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Electron — RKLB's small-lift (~300kg) orbital rocket; the established #2 to SpaceX by launch count.	Neutron — RKLB's reusable medium-lift (~13t) rocket targeting a Q4 2026 first launch; the core bull catalyst.	Space Systems — RKLB's non-launch segment: satellites, star trackers, solar, separation systems, components — the majority of revenue.
Backlog — Contracted future revenue not yet recognized; RKLB's was \$1.85B (+73% YoY) at FY25.	Sales-to-capital (s2c) — Damodaran reinvestment efficiency: incremental revenue per dollar of reinvested capital. Higher = more capital-efficient growth.	